

STRATEGY WITH PROFESSOR XAVIER SAUZAY

Company Project
FERRAGAMO



BY: VALERIA ZAIKA, BENJAMIN PASCAL, SHEMA KAZUBWENGE,
ELLIOT VINAO AND REN MCKINNELL

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1. Disclose Your Use of AI

As part of this collective project, we used artificial intelligence as a versatile tool to assist with various stages of the work. Its use focused on three main areas:

- Documentary research and synthesis: The tool was used to navigate the available documentation efficiently, helping to identify relevant sources and summarize voluminous reports (e.g., annual reports). It also facilitated the understanding and summarization of the overall project guidelines.
- Educational and analytical support: AI played a tutoring role in simplifying certain complex theoretical or financial concepts necessary for the analysis. It was also used as a sparring partner to test the relevance of certain strategic assumptions and structure key ideas.
- Editorial and formal assistance: During the finalization phase, AI was used to improve the linguistic quality of the report (grammar correction, search for precise vocabulary, rewording). It also ensured the technical formatting of bibliographic references in accordance with the required academic standards.

We used AI exclusively as a support and optimization tool. All strategic reasoning, final selection of information, and content writing remain the result of the work and critical thinking of each member of the group.

2. Introduction

- Brief presentation of Ferragamo

Salvatore Ferragamo S.p.A. is a famous Italian luxury fashion brand, founded in Florence in 1927 by Salvatore Ferragamo, who became well-known for creating high-quality, innovative footwear¹. His shoes were so popular that many Hollywood actresses wore them, which helped the brand gain international recognition². Over the years, Ferragamo has become associated with elegance, quality, and luxury, a reputation that has lasted nearly a century.

Today, Ferragamo is a major player in the global luxury market, generating around €1 billion in annual revenue³. The company operates in more than 90 countries, with over 400 stores worldwide. Its business is divided into several divisions: footwear, leather goods, ready-to-wear, accessories, eyewear, watches, and perfumes. Shoes remain the core of the business and a key source of revenue, but leather goods and accessories have grown steadily in importance. Ferragamo has a diversified global presence. Europe (EMEA) accounts for about 24% of its sales, North America around 28%, and Asia Pacific about 32%. Japan, Central, and Latin America make up the remaining 15% of revenue. The company sells through a mix of directly operated stores, franchised boutiques, and wholesale partners. Retail stores are the most important channel, accounting for over 70% of total revenues.

The brand's success is built on timeless design, Italian craftsmanship, and high-quality materials. Ferragamo continues to highlight its heritage through the “Made in Italy” label and emphasizes a classic, elegant style that appeals to customers seeking luxury and refinement.

- Ferragamo and its competitors

Ferragamo operates in one of the most competitive industries in the world. Luxury fashion is not just about clothes or accessories. It is about image, storytelling, exclusivity, and global desirability. The brand competes with some of the largest luxury groups and iconic independent houses. Its main competitors include LVMH, the world's largest luxury company with revenues of nearly eighty-eight billion euros annually, and Kering, which generated around seventeen billion euros in twenty twenty-four through brands such as Gucci, Saint Laurent, and Bottega Veneta. Independent luxury houses such as Hermès and Chanel are also strong rivals. Hermès achieved more than fifteen billion euros in sales and outperformed many peers due to strong demand for its leather goods and accessories. Other competitors include Prada,

¹ Salvatore Ferragamo Group, Company History & Profile, Official Website.

² BluCactus. (2024). *Salvatore Ferragamo's marketing strategy*. <https://blucactus.blue/salvatore-ferragamos-marketing-strategy/>

³ Ferragamo Group. (2024). *Annual report 2023*. Salvatore Ferragamo S.p.A. <https://group.ferragamo.com>

Burberry, and Richemont, the owner of Cartier, each carving their niches within the broader luxury industry.

Despite its reputation and heritage, Ferragamo is significantly smaller than its largest rival. LVMH's revenue is more than eighty times larger than Ferragamo's approximately one billion euros in annual sales. Kering's flagship, Gucci, contributes about forty-four percent of the group's revenue, which far exceeds Ferragamo's individual brand strength. Market share data reflects this hierarchy. Dominant players such as Louis Vuitton, Gucci, and Dior control multiple percentage points each while other brands make up smaller slices of the total market.

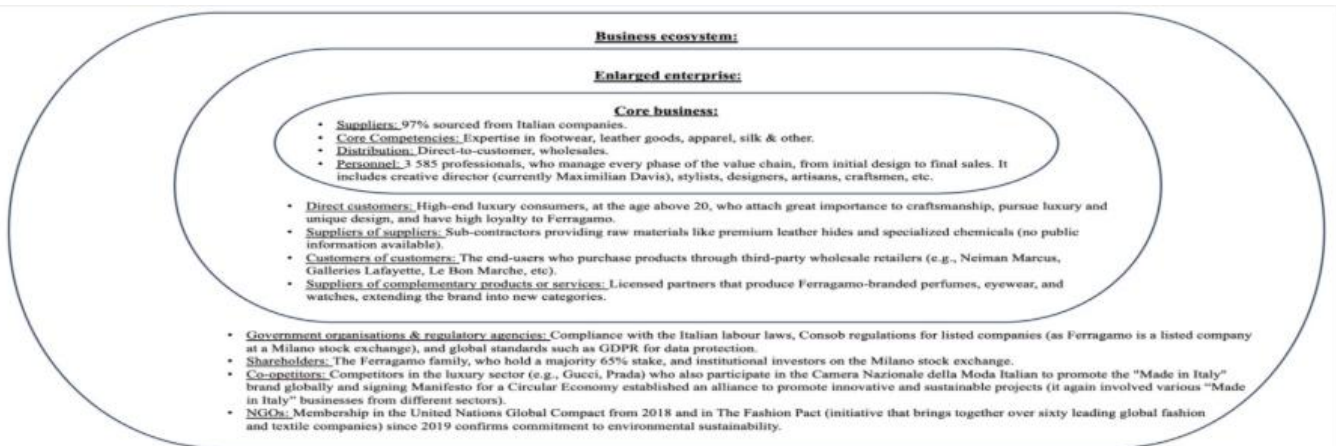
Ferragamo's competitive positioning is distinct. Its biggest strength lies in its expertise in footwear. Shoes are not just another product. They are the foundation of the brand. Many luxury brands treat shoes as accessories, but Ferragamo built its reputation on comfort, craftsmanship, and technical innovation. This gives the brand credibility that few competitors can match and creates strong loyalty among high-end customers. Unlike some rivals that chase trends, Ferragamo focuses on timeless elegance and discreet luxury. This attracts customers who prefer refinement over ostentation and positions the brand differently from competitors such as Gucci and Louis Vuitton, which rely heavily on logos and trend-driven collections.

Hermès, for example, has built its advantage around scarcity and artisanal prestige, particularly with products such as Birkin and Kelly bags. This approach generates consistent growth and reinforces exclusivity. LVMH benefits from scale, diversified brand portfolios, and global reach, with Louis Vuitton often cited as the most profitable brand in the luxury sector because of its universal appeal and steady demand across regions. Kering's portfolio offers both mainstream luxury and niche brands, although Gucci has faced volatility that has affected overall group performance.

In terms of geography and retail, Ferragamo maintains a global presence through directly operated stores, franchised boutiques, and wholesale partners. However, it does not have the density of networks that LVMH and Kering operate worldwide. These conglomerates also invest heavily in digital platforms and e-commerce strategies, which have helped them maintain visibility and sales even during slowdowns. Ferragamo has made progress online, but it still lags the leaders in digital engagement and international reach.

Ferragamo's competitive environment is therefore defined by a contrast of scale and strategy. It is a respected heritage brand with deep roots in Italian craftsmanship and footwear excellence. It competes against conglomerates with enormous market power and independent brands that have built focused, exclusive identities. Brand stature, distribution, and market share remain critical factors in measuring success in the luxury sector.

• Ferragamo's global ecosystem



The Salvatore Ferragamo ecosystem, structured according to the Letaifa (2014) model, reveals a complex interdependence between Italian heritage and a modern, high-tech global infrastructure. The graph above highlights the key elements of each ecosystem layer. Now, I would like to take a closer look on the most important parts of the analysis. At the core of the ecosystem is Salvatore Ferragamo S.p.A., which operates as a family-led powerhouse. The heirs of the founder retain a 65% majority stake through Ferragamo Finanziaria S.p.A. The internal layer is defined by a workforce of 3,585 professionals, ranging from Creative Director to highly specialized artisans working in the “Manovia” assembly lines. Ferragamo’s supply chain is deeply rooted in Italy: 97% of supplier turnover is concentrated domestically, with a strong focus on Tuscan manufacturers, which account for more than half of finished product turnover. This structure ensures that the brand’s “Made in Italy” claim is firmly grounded in local geography and long-term partnerships. Notably, 43% of these manufacturers have collaborated with the brand for over ten years. Distribution channels are primarily based on a Direct-to-Consumer (DTC) strategy, consisting of 367 directly operated stores (DOS) located in exclusive and strategic global markets to ensure direct customer engagement. In addition, Ferragamo operates through single-brand stores and shop-in-shops managed by third parties (TPOS), as well as a multi-brand wholesale channel. This network is strategically used to strengthen brand presence in the United States and to reach markets where direct retail operations are not yet feasible, such as the Middle East and Africa, through franchise partners and high-visibility travel retail locations.

The Enlarged Enterprise layer presents a broader, more global perspective. Ferragamo’s direct customers are adults aged 20 and above who prioritize quality and unique design, including high-profile public figures such as Princess Diana⁴. While information on suppliers’ suppliers is not publicly available, Ferragamo, as a leader in responsible value chains⁵,

⁴ Ferragamo official website, Diana clutch <https://www.ferragamo.com/shop/us/en/women/handbags/clutches-1/-560469--1?srsltid=AfmBOorliizltPp3rrx05sme3DrO7e5CxL39oMZyariu2MB-9Fb-rhXk>

⁵ Value chain | Ferragamo Sustainability. (n.d.-b). Example Static Site. <https://sustainability.ferragamo.com/en/value-chain>

maintains a strong focus on the sustainability performance of its suppliers. This layer also includes providers of complementary products and services, such as licensed partners producing Ferragamo-branded perfumes, eyewear, and watches. The company has entered into an exclusive worldwide licensing agreement with Inter Parfums, Inc.⁶ for the production and distribution of Ferragamo fragrances, with Marchon group in the eyewear industry and with Timex group in the watch industry.

The Business Ecosystem layer encompasses the institutional framework and collaborative alliances that shape the brand's ethical and competitive environment. As a listed company on the Milan Stock Exchange, Ferragamo operates under the oversight of CONSOB and complies with international standards such as GDPR. Although examples of co-opetition are limited, I would like to highlight the Ferragamo's membership in the Sustainability Workgroup sponsored by the Camera Nazionale della Moda Italian⁷. This initiative aims to promote an Italian approach to sustainable fashion and encourages the adoption of responsible business models throughout the industry's value chain, in collaboration with competitors such as Gucci and Prada. Additionally, in 2017, the Group signed the Manifesto for a Circular Economy⁸, which established an alliance to promote innovative and sustainable projects involving internationally recognized "Made in Italy" businesses from various sectors. The alliance focuses on developing business models based on resource sharing, extending product lifecycles, energy reuse, and renewable resources. Ferragamo is also a member of major non-governmental organizations such as The Fashion Pact⁹ a coalition of over 60 leading global fashion and textile companies. The initiative has set tangible targets across three focus areas: achieving net-zero carbon impact by 2050 through science-based targets, protecting key species and restoring critical ecosystems, and reducing the fashion industry's impact on ocean environments. In addition, in December 2018, the Ferragamo Group joined the United Nations Global Compact, the world's leading voluntary corporate citizenship initiative, to support the implementation of universal sustainability principles and the United Nations' goals.

Turning to alliances and partnerships, several have already been mentioned, including the Manifesto for a Circular Economy and The Fashion Pact. In addition, Ferragamo has formed a strategic partnership with Farfetch to modernize its digital reach¹⁰. According to Reuters, the Italian fashion house partnered with the online luxury retailer to expand its digital presence and engage younger consumers. Through this collaboration, Ferragamo leverages Farfetch's e-commerce platform to connect with a global Millennial and Gen Z luxury

⁶ Eyewear-watches and perfumes - Business - Home page | Ferragamo Group. (n.d.). Example Static Site. <https://group.ferragamo.com/en/business/eyewear-and-watches>

⁷ Salvatore Ferragamo Group, Salvatore Ferragamo S.p.A., & Ferragamo, L.. S. p. A. Chair. (n.d.-b). Annual report 2022 <https://sustainability.ferragamo.com/resource/blob/784260/7a68eSad0177b6c48c2c4578a4a915fa/2022-ferragamo-annual-report-data.pdf?UNDEFINED>

⁸ Our commitment | Ferragamo Sustainability. (n.d.). Example Static Site. <https://sustainability.ferragamo.com/cn/our-commitment>

⁹ About us - The Fashion Pact. (2025, April 28). The Fashion Pact. <https://www.thefashionpact.org/about-us/>

¹⁰ Reuters | Ferragamo partners with Farfetch to grow online, reach younger shoppers <https://www.reuters.com/business/retail-consumer/ferragamo-partners-with-farfetch-boost-online-presence-2022-08-11/>

audience. Another notable partnership is with Kempinski Hotels¹¹, with whom Ferragamo has entered an extended collaboration aimed at delivering a refined luxury travel experience. This partnership includes the distribution of tailor-made Ferragamo hotel amenities across the Kempinski hotel network. Finally, Ferragamo actively engages celebrities and digital influencers as part of its communication strategy. The brand has highlighted one of its key symbols, the Gancini double-hook fastening, through a digital campaign exploring the lives of international influencers, including Caro Daur, the duo behind Diet Prada, Tamu McPherson, Pelayo Díaz, Aureta, Susie Bubble, and Carlo Sestini.

3. Ferragamo's strategic setting

- Ferragamo's business model

Ferragamo has recently undergone a re-branding, and its business model has been reinvented right along with it. While in the past they have prided themselves on “old-money” and the traditional Italian leather-working touch, the company found themselves facing a conundrum: their original customer-base is dying off— quite literally. Now their aim is to attract the younger generation, namely Gen Z. They started by changing their logo from the classic cursive “Salvatore Ferragamo” which was cut to just “FERRAGAMO” in 2022, sporting a flashy red font in all caps¹². Additionally, their new creative director, Maximilian Davis, was brought in that same year¹³. Davis’ designs are sponsored by the likes of celebrities such as Rihanna and Dua Lipa¹⁴. In other words, his show-stopping dresses are touted by Gen Z’s favorite pouting pop stars. However, despite all these bold business decisions, the value proposition is fragmented. The products they are offering are just as high quality as before, but what’s worse is that they are losing their old target demographic faster than they are gaining traction with their new one.

¹¹ "Kempinski Hotels announces a strategic partnership with Salvatore Ferragamo. (n.d.). <https://www.kempinski.com/en/press-room/kempinski-hotels-announces-a-strategic-partnership-with-salvatore-ferragamo>

¹² Morletto, E. (2022, September 21). The Ferragamo brand undergoes a transformation. Luxury Tribune. <https://www.luxurytribune.com/en/the-ferragamo-brand-undergoes-a-transformation>

¹³ Augustin, R. (2022, April 5). Maximilian Davis is the new creative director at Salvatore Ferragamo. AugustMan Malaysia. <https://www.augustman.com/my/fashion/maximilian-davis-is-the-new-creative-director-at-salvatore-ferragamo>

¹⁴ Elisan, M. L. (2022, October 31). Dua Lipa wears Ferragamo at the Vogue Forces of Fashion 2022 Summit — SSI Life. SSI Life. <https://ssilife.com.ph/blog/dua-lipa-ferragamo-vogue-forces-fashion-2022-summit>

In 2024 and on, Ferragamo saw major losses. The company depends on high-gross-margin (luxury pricing) and a high-fixed-cost model (75% retail exposure)¹⁵. Revenue went down by 10.5% from 2023 to 2024, going from 1,156.3 million euros to 1,035.1 million euros. Net profit for 2024 was in the red, a loss of 68 million euros, where in 2023 they were at least able to turn a profit of 26M. Their stock price hit a high of 12.84€ in February 2024 before tanking to almost half that, finishing off the year with a stock price of 5.47€. In the half-year report for 2025, similar losses are seen. Their revenue has dipped even further - another whopping 9.4% compared to the revenue for 2024. Furthermore, financial losses were not the only type of loss that Ferragamo experienced. Not surprisingly, Marco Gobbetti, the CEO whose contract was set to end 2 years later, stepped down on March 6th of this year¹⁶. This financial and leadership context sets quite a stark tone for the company moving forward.

So, what happened exactly? The truth of the matter is that Ferragamo's rebranding is not aligned with their business model. Ferragamo's main revenue stream is their accessories; they are a footwear company first and foremost. Footwear makes up 45.7% of their revenue, and leather goods, such as bags and belts, make up 40.9%. Together, that makes a combined 86% of sales. Selling silk scarves, ties, and ready-to-wear apparel off the runway is mostly a ploy to attract buzz for their brand. Relying almost solely on the sales of their accessories has kept their margins high in the past, but when accessory companies lose the "hype," luxury spenders will opt for companies with a more favorable brand name, such as Coach or Louis Vuitton. Ferragamo has essentially lost its ability to create and capture value. Their value chain and "dedication to Italian craftsmanship" is what has historically set them apart: 97% of their supplier turnover is based in Italy, and 52.4% of turnover from their finished products are processed by Tuscan manufacturers. This vertical integration blended beautifully with their "old-money" customer base. There was demand for their shoes, and their customers were willing to pay for the timeless, traditional quality and the brand association behind it.

Ferragamo has been moving away from their older customer base for the last two years and has yet to see a return on their Gen Z investment, due to a multitude of factors. To capture the Gen Z market, they have favored Direct-to-consumer sales, such as E-commerce and retail stores, also supported by their redefined digital marketing strategy which involves social media and even more immersive tools such as virtual and augmented reality¹⁷. Sales via Wholesalers, however, have decreased by 21% in 2024. Cutting out the "middleman," i.e. the Wholesalers, can sometimes be a strategic move to increase profit margins or control brand image, but in their case, it has left them with higher fixed costs due to the level of upkeep needed for their

¹⁵ Salvatore Ferragamo S.p.A. (2025, March 6). PRESS RELEASE (Press release). <https://group.ferragamo.com/resource/blob/1079322/2924382e4db4468823ec8e6e5ede828b/01-2025-03-06-press-release-fy-2024-data.pdf>

¹⁶ Adegeest, D. (2025, February 4). Salvatore Ferragamo parts ways with CEO Marco Gobbetti. FashionUnited. <https://fashionunited.com/news/pcople/salvatore-ferragamo-parts-ways-with-ceo-marco-gobbetti/2025020464291>

¹⁷ Ottobix. T. (2025, October 30). The Ferragamo case: Rebranding and Italian independence. Ottobix. <https://www.ottobix.com/en/ferragamo-and-the-reinvention-of-italian-elegance/>

rent and employees. Ultimately, these high fixed costs from prioritizing DTC sales are what led to their loss of net profit in 2024.

Moreover, Ferragamo is fighting a losing battle by trying to garner the attention of Gen Z given current geopolitical and economic hardships imposed on our generation. According to *Bain & Company's* "2024 Luxury Study," the aspirational luxury consumer, usually comprised of young people, has shrunk by more than 50 million people due to recent inflation¹⁸. As a result of said economic instability, Gen Z intends to reduce discretionary spending by 23% by the end of 2025, making this the largest drop out of any demographic¹⁹. Climate change is also driving Gen Z towards more environmentally conscious and animal-cruelty free choices, and 82% admit to purchasing 'dupes', or brand knockoffs, rather than paying full-price for exorbitant luxury goods. Not only that, but up until 2029, "[t]he Vegan handbags market size is forecast to increase by 1.98 billion [USD] at a [Compound Annual Growth Rate] of 8.5%...". For a brand like Ferragamo, whose business model depends on its thousand-dollar leather loafers, targeting the frugal, socially conscious generation that is Gen Z is a sure-fire way to decrease profits, even if our favorite celebrities are indeed Ferragamo fans.

The Asian market share has also been alienated in the process, highlighting their strategic misalignment mishap even further. Historically, Ferragamo has been dependent on Asia's penchant for luxury fashion as a revenue stream, but regional sales are down by 19% according to a press release from the Board of Directors. The traditional Asian buyer is typically marked by more subtle, toned-down fashion and makeup, often considered opposite to what we idolize in the West. Therefore, it would make sense that the newer, emboldened choices of "FERRAGAMO" would scare off one of their key regional markets— even the logo seems to be screaming at us! That, coupled with Asia's recent economic downturn, is disastrously poor timing. Asia's luxury market has dwindled by 20% in 2024, and now "...only 28.6% of newly affluent Chinese... list luxury shopping as a financial goal, down from over 50% five years ago.". Regarding a company's strategy, timing is everything.

Finally, the drastic decline in profitability demonstrates a fundamental flaw in the company's cost structure: they are trapped by high operating leverage. Ferragamo owns all their own factories and stores in Italy, and their Italian artisans are full-time salaried workers. Based on this business model, even just a 10.5% dip or surge in sales can make or break them. When sales increase, it pays to own and operate everything yourself, and that translates into almost pure profit margins. When sales decrease, property rent, taxes and salaries remain the same, which is exactly why they saw a loss of €68M last year. As mentioned earlier, the Wholesale revenue stream could have recovered the critical unit volume needed to keep them afloat if they had not pulled back in a misguided attempt to maximize DTC profit margins and

¹⁸ D'Arpizio, C., Levato, F., Steiner, A., Babbini, G., De Montgolfier, J., & Glaser, H. (2025, December 18). Finding a new longevity for luxury. Bain. <https://www.bain.com/insights/finding-a-new-longevity-for-luxury/>

¹⁹ PricewaterhouseCoopers. (n.d.). The Gen Z paradox: Spending less, expecting more. PwC. <https://www.pwc.com/us/en/industries/consumer-markets/library/gen-z-consumer-trends.html>

appeal to Gen Z. To sum it all up, Ferragamo's business model is built for consistent high-volume orders and a commitment to their Italian heritage, whereas their current strategy has been chasing after niche trends and a newer demographic that simply cannot pay the bills.

- **Innovation strategy**

Innovation at Salvatore Ferragamo is not just about adopting new technologies; it is the core driver of the company's current "turnaround strategy." Historically known for its craftsmanship and heritage, the brand faced a significant challenge: it was perceived as aging and less relevant to younger consumers compared to competitors like Gucci or Prada. According to recent financial reports, the company also faces a challenging environment with a 9.4% revenue decline in the first half of 2025 and the departure of CEO Marco Gobbetti²⁰. In this critical context, Ferragamo fosters innovation not as a luxury, but as a necessity to reverse this trend. To solve this, Ferragamo has implemented a dual innovation strategy focusing on creative rejuvenation and sustainable development. This approach aims to restore the brand's desirability and build a sustainable competitive advantage. From a theoretical standpoint (Session 12 of strategy course), this strategy can be categorized using Heany's typology (1983) and Ovans' framework (2015). Ferragamo is simultaneously deploying product innovation to refresh its offer and process innovation to transform its value chain.

The most visible aspect of Ferragamo's innovation is its creative direction. In 2022, the company appointed Maximilian Davis as creative director to modernize the brand's image. Davis has fostered innovation by reinterpreting the company's vast archives through a modern lens. For instance, he reinvented the iconic "Gancini" heel and introduced a specific shade of red ("Ferragamo Red") to create a strong, recognizable visual identity (Conlon, 2024). This strategy is evident in the "New Renaissance" campaign, which mixes classic Italian art with modern fashion (Jing Daily, 2023). This is a strategic move to foster innovation in communication: by blending heritage with contemporary culture, Ferragamo connects with Gen Z consumers who value storytelling, while reassuring traditional clients with the brand's historic roots.

This approach aligns with Rothaermel's (2015) definition of Incremental Innovation. Ferragamo is not engaging in radical innovation (which would create a new market) but is significantly improving existing products to sustain its position in the luxury market. By using "product-line extensions" (Heany, 1983) like the unified "Ferragamo Red" identity, the brand engages in an Exploitation strategy (March 1991): it exploits its existing assets (archives, reputation) but upgrades them to extend their lifecycle.

Beyond design, Ferragamo fosters innovation through its supply chain and materials. The company has developed a "responsible materials" strategy to meet the growing demand for

²⁰ CPP-LUXURY (2025) 'FERRAGAMO reports 9.4% decline in first-half 2025 revenue, CPP-Luxury, 1 August

ethical luxury. This includes the research and development of innovative materials such as metal-free leather, certified organic cotton, and fibers made from citrus by-products²¹. This technological innovation serves a strategic purpose. By integrating sustainability directly into the product creation process, Ferragamo differentiates itself from "fast fashion" and justifies its premium pricing. The innovation here lies in the ability to produce luxury goods that are both high-quality and environmentally responsible, which is becoming a key requirement for modern luxury buyers (Ferragamo Group, 2023). This corresponds to Process Innovation as defined by Ovans (2015): innovations focused on "improving resource productivity and environmental performance." Unlike product style changes, this innovation alters *how* the value is created. It addresses the "implementation challenge" (Klein & Sorra, 1996) by aligning the company's operations with new external values (sustainability), ensuring a "good innovation-values fit" with modern consumers.

Innovation plays a crucial role in constructing Ferragamo's competitive advantage. It allows the brand to escape the "competency trap" where a brand relies too much on its past successes. By innovating in both design (to create desire) and materials (to create value), Ferragamo builds a unique position in the market.

- **Differentiation:** The unique blend of Maximilian Davis's modern aesthetic with traditional Italian craftsmanship makes the products difficult for competitors to copy.
- **Relevance:** Innovation allows the brand to stay relevant to younger generations, ensuring long-term growth and survival in a highly competitive industry (Vogue Business, 2024).

Ferragamo must manage the tension between Exploitation and Exploration to sustain competitive advantage long-term (Session 12).

- Escaping the "Competency Trap": As noted, relying solely on heritage (Exploitation) led to stagnation. The new strategy introduces Exploration: venturing into new territories like the metaverse (Digital Strategy) or using experimental bio-materials (Orange Fiber).
- Open Innovation: Ferragamo is also adopting an open innovation mindset (Chesbrough, 2003). By collaborating with external partners like the *Uffizi Galleries* for content or *Orange Fiber* for materials, the firm engages in "inbound open innovation." It sources external knowledge to enhance its internal technology base, acknowledging that not all smart people work for Ferragamo.

²¹ "Ferragamo Sustainability (2024) Sustainability Plan: Fostering Materials Innovation. Available at: <https://sustainability.ferragamo.com/en/our-commitment/sustainability-plan>

In conclusion, innovation at Ferragamo is the bridge between its past and its future. It transforms the company's heritage from a passive asset into a dynamic competitive tool, ensuring that the brand remains a leader in the global luxury market.

- **Digital strategy**

In its 2024 Annual Report²², Ferragamo outlines its corporate strategy around four key pillars, one of which is a focus on the digital domain. This strategic priority highlights the company's awareness of the importance of digital tools in building and sustaining competitive advantages. So, let's analyze how effectively Ferragamo utilizes its digital resources, and how they influence Ferragamo's strategy. According to the official reports, Ferragamo maintains a digital presence through its official website (www.ferragamo.com), which is available in seven languages: Italian, French, Spanish, English, Chinese, Korean, and Japanese. The website includes e-commerce functionality in many European countries (the Eurozone and the United Kingdom), the United States, South Korea, Japan, Mexico, the People's Republic of China, and Australia. This geographic coverage is quite limited compared to the brand's list of directly operated stores (DOS) - Ferragamo operates directly in more than 90 countries worldwide. However, the company has already made progress in strengthening its digital channel. In recent years, Ferragamo has re-platformed its website and implemented more effective digital marketing campaigns, resulting in a consistent positive trend in terms of both traffic and the quality of sales.

Beyond e-commerce, Ferragamo has invested significantly in digital communication through social media, using platforms to enhance customer engagement and deliver an excellent brand experience. During 2023–2024, the company launched several digital initiatives across major platforms including Instagram, Facebook, Twitter, Pinterest, YouTube, TikTok, as well as region-specific platforms such as Weibo and WeChat in China and LINE in Japan. These initiatives focus on reinforcing brand identity and product positioning through creativity, diversity, and storytelling. The company has also announced that its digital platforms will continue to be refined throughout 2025, particularly to align with Ferragamo's strategic positioning around sustainability communication. Through its social media channels, Ferragamo showcases new collections, fashion week highlights, backstage content, emerging trends, and celebrity appearances. Social media is therefore used not only to increase online visibility but also to communicate the brand's heritage while presenting it in a modern and engaging way. This strategy relies on several digital tools, including the creation of targeted social media campaigns, collaboration with a diverse portfolio of influencers to reach multiple customer segments, and the use of early previews and exclusive launches to drive both online and in-store traffic. In addition, Ferragamo actively encourages user-generated content, fostering community engagement, and supporting sustainability-related narratives. Dedicated

²² Salvatore Ferragamo Group, Salvatore Ferragamo S.p.A., & Ferragamo, L.. S. p. A. Chair. (n.d.). Annual Report 2024. <https://group.ferragamo.com/resource/blob/1078112/5f991c2f24acb39c18c5c3927901068c/annualreport2024-data.pdf>

hashtags are also employed to promote new collections and stimulate brand-related discussions.

Furthermore, Ferragamo collaborates with brand ambassadors to strengthen its marketing efforts by showcasing product experiences. These ambassadors share personal connections with the brand and the products they use, enhancing credibility and emotional engagement. A recent example is the appointment of Alberto Tomba²³, the renowned Alpine skiing legend, as a new brand ambassador. His collaboration is expected to be featured across Ferragamo's social media platforms soon.

Another important digital tool concerns anti-counterfeiting and product traceability. Over the years, Ferragamo has implemented advanced measures to protect customers and safeguard brand value. The company employs an Authenticity Tag system, based on Near Field Communication (NFC) technology, which uniquely identifies genuine "Made in Italy" Ferragamo products. The tag is embedded in the product at the final stage of the manufacturing process and activated after a quality control check.

As it relies on a certified unique identifier, the tag cannot be counterfeited. Consumers can scan it using an NFC-enabled smartphone, which directs them to the official Ferragamo website. In 2024, the company also evaluated extensions of this system to include sustainability-related information. This initiative represents a significant digital enhancement, particularly given the premium pricing of Ferragamo products, as it allows customers to verify authenticity directly and reinforces trust in the brand.

Finally, applying the Customer as a Resource (CAAR) framework studied during the semester, Ferragamo has a customization option, which can be described as Interaction led by customers that is more on the passive side. As mentioned on the website, the brand offers customers the possibility to personalize selected accessories, such as handbags, belts, and small leather goods with initials. Customization is available only in-store and only in selected flagship locations (for example, in Paris, exclusively at the Avenue Montaigne store). We can clearly see that this service is quite geographically restricted; however, it enhances the value proposition by strengthening customer involvement and perceived product exclusivity.

Digital strategy supports product promotion through social media, reinforces Ferragamo's luxury positioning, and enhances brand accessibility via e-commerce. It also contributes to risk management and brand protection through NFC-based authenticity tags. However, this area cannot boast major innovations. In addition, significant opportunities for further development remain, particularly in expanding the geographic reach of e-commerce and addressing the underutilization of online personalization tools, which currently limits customer engagement and scalability.

²³ Passcri, E. (2025, December 15), Alberto Tomba named Ferragamo's new brand ambassador. FashionNetwork.com. <https://www.fashionnetwork.com/news/Alberto-tomba-named-ferragamo-s-new-brand-ambassador,1791705.html>

- International strategy

Ferragamo is a long-established global player in the luxury industry, with operations spread across several key geographical areas including Europe (EMEA), North America, Japan, Asia-Pacific, and Central and Latin America. Historically, the brand entered international markets by leveraging its Italian heritage and strong artisanal expertise, often summarized through the “Made in Italy” label. This positioning allowed Ferragamo to attract a high-end international clientele looking for quality, craftsmanship, and timeless luxury. Ferragamo use a multi-channel approach to penetrate those markets but still they maintain their global footprint, with entry modes tailored to regional market maturity

- Direct-to-consumer: Ferragamo primarily enters those markets by company-owned retail stores. Like that, they will keep total control over their brand image, with the retail channel accounting for 71.2% of their total revenue in 2023. For example, Ferragamo operates flagship Directly Operated Stores in major fashion hubs like Milan, Paris, and New York. In China, this direct entry was successful.
- Franchising and wholesale: Ferragamo uses these modes to enter broader territories, travel retail, and emerging markets. The Group is currently rationalizing this network by reducing wholesale by 21.2% in 2024 to regain control over their brand image and pricing abroad.
- In 2023, revenues from licenses and services increased by 15.6% at both current and constant exchange rates; this item mainly consists of royalties for the licensing of the Salvatore Ferragamo trademark to the Marchon group in the eyewear industry, the Timex group in the watch industry, and the Inter Parfums group in the fragrances industry. While Ferragamo overall consolidated his revenues, they unfortunately saw a decline of 7.6% due to the softening of the market and a planned rationalization of the distribution challenges, but the licensing segment stays a high-profit area for Ferragamo. So, this growth clearly allows Ferragamo to leverage the technical expertise and their global distribution networks.

Ferragamo follows a Transnational Strategy. They still maintain a strong centralized Italian identity and "Made in Italy" production to ensure global consistency, but they also demonstrate local responsiveness by adapting some collections and marketing campaigns to specific regional tastes, such as in Greater China where retail sales grew double-digit at the end of 2023.

The analysis of preliminary revenues for 2023 highlights a diversified geographical distribution, even though the brand faced a global slowdown in luxury demand. Asia-Pacific remains Ferragamo’s main market, accounting for 32.4% of total net sales, equivalent to €362.9 million. Although the region experienced a year-on-year decline, the fourth quarter of 2023 showed encouraging signs. North America represents 28.2% of total sales, or €316.2 million, but suffered a sharp decline of 19.2% in 2023, mainly due to a broader slowdown in consumer

demand across the region. In contrast, the EMEA region was the only area to record growth, with net sales increasing by 3.3% to reach €270.6 million, representing 24.2% of Ferragamo's global sales mix. Japan and Central and Latin America complete the company's international footprint, contributing 7.7% and 7.5% of net sales respectively. From an operational perspective, Ferragamo relies on a balanced distribution model combining directly operated retail stores, franchised boutiques, and wholesale partners. In 2023, the retail channel generated 71.2% of total revenues, confirming the brand's strategic focus on direct customer relationships. This international presence is further supported by the Ferragamo Foundation, which promotes Italian craftsmanship and cultural values abroad, reinforcing the brand's image in foreign markets.

Internationalization clearly now acts as a central lever for survival and repositioning in a luxury market that is evolving rapidly. The company's competitive advantage increasingly depends on its ability to adapt geographically and rebalance its exposure across regions. A key benefit of this strategy is risk diversification and shifting power centers. While Asia-Pacific had long been Ferragamo's main growth engine, 2024 marked a historic turning point, with North America becoming the Group's leading market, representing 30.5% of net sales, compared to 28.9% for Asia-Pacific. This geographical flexibility allows Ferragamo to offset weaker demand in China, where consumption has been affected by the phenomenon of "luxury shame," with stronger performances in more resilient markets such as Europe and Japan. At the same time, the company's focus on direct-to-consumer sales is starting to pay off. In the third quarter of 2025, direct international sales grew by 4.4%, driven by double-digit growth in North and Latin America.

Despite these strategic adjustments, Ferragamo's competitive advantage remains under pressure. The brand's extensive international exposure has increased its vulnerability to margin pressure and geopolitical instability. In 2024, the Group recorded a net loss of €68 million, compared to a profit in 2023, highlighting the high cost of this transformation during a challenging global context. Another major challenge is brand rejuvenation. While Ferragamo benefits from a strong and authentic "Made in Italy" identity, translating this heritage into desirability for younger global consumers, especially Gen Z, remains difficult. In this area, competitors such as LVMH and Kering still hold a clear technological and marketing advantage.

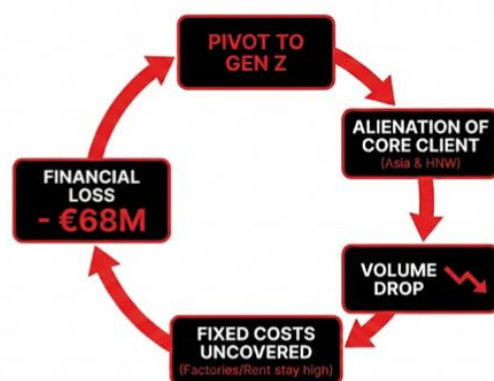
Overall, internationalization acts as a shock absorber for Ferragamo. Even as global volumes decline, the brand's ability to maintain growth in Europe, with a 3% increase by the end of 2025, and to stabilize sales in Japan demonstrates that Ferragamo retains a selective and loyal appeal. This balance between global reach and brand exclusivity remains essential for the company's long-term sustainability.

4. Recommendation

- The Main Strategic Challenge Faced by the Company

Based on the earlier strategic analysis I did of the company's business model, as well as my group members' analysis of the company's ecosystem and its finances, I would say the fundamental challenge faced by Ferragamo is a "Demographic Mismatch." The foundation of Ferragamo's business model is built on their "quiet luxury" heritage customers, also known as High-Net-Worth Individuals, or HNWI. This is made apparent by looking at its vertically integrated value creation: Ferragamo owns all of its own factories and employs full-time Tuscan artisans. Ferragamo's cost structure therefore revolves around High Operating Leverage, requiring high stability and high volume in order to cover the high fixed costs of running Italian industrial headquarters. However, their current strategy has pivoted to attract the younger, trendier Gen Z, the likes of whom have only "aspirational" income. Ferragamo has sunk quite literally millions of euros into chasing this new demographic. Their ready-to-wear apparel, only making up 6% of their revenue, is highly volatile, and designs change every 6 months to keep up with the trends. All the while, Ferragamo has become disloyal to their own brand values.

This High-Operating-Leverage vertical integration system has shoehorned Ferragamo into an unforgiving "volume trap," where large volumes of their products must be sold just to hit the Break-Even Point. Any dip in sales can lead to huge losses, as seen by the 10% dip in revenue during 2024 which ended up costing them 68M euros. Furthermore, Ferragamo's rebranding alienated their original customer base, and regional sales in Asia, normally a steady stream of income for Ferragamo, decreased by 19% during the last year. Simultaneously, Gen Z, the new target demographic characterized by a love of sustainable, non-leather dupes, has failed to purchase the high volumes needed to keep Ferragamo afloat.



The Vicious Cycle of Strategic Misalignment

Consequently, Ferragamo has continued to hemorrhage cash for the 2025 half-year report, losing another 9.4% in revenue. The current strategy is clearly not working and must be completely revamped if they ever want to stand a chance at recovering financially.

- Strategy as Practice

- The "Prada Group" Precedent: Portfolio Differentiation

To resolve this demographic mismatch, I propose that Ferragamo follow the successful “Portfolio Differentiation Strategy” executed by its competitor, the Prada Group. The Prada Group, with its Gen Z brand “Miu Miu,” offers a clear blueprint for managing the clash between its two customer bases. “Out with the old and in with the new,” is everything that’s wrong with Ferragamo, but Prada proves that segmentation and portfolio differentiation is a reasonable strategy to capture multiple audiences without alienating either of them. Hence, all of Ferragamo’s efforts do not need to be abandoned in favor of the previous strategy, but rather, the current strategy needs to be redirected.

Prada, being an Italian luxury powerhouse akin to Ferragamo, was faced with a similar dilemma. Its older clientele were dying off while a new demographic was emerging. It needed to find a way to remain timeless yet relevant and youthful at the same time. In the 1990s, Prada decided to create Miu Miu, a separate brand under the parent company. In this way, the brand of Prada was not diluted nor cheapened, and could continue to cater to their mature HNWI. Miu Miu was the rebellious, younger counterpart to Prada, and was free to keep up with the trends driven by the fast-fashion giants of the industry. While SHEIN provides a low-quality, high-volume model to attract Gen Z and Millennials, an important gap was filled by Miu Miu: a clothing line with the quality of Prada, but still just as trendy and go-getter as fast-fashion. Prada’s Miu Miu strategy speaks for itself. In 2024, amidst a global decline in luxury purchasing, Miu Miu grew an impressive 93%. This growth was able to help stabilize Prada’s luxury sales without detracting from them. Prada has become apart of a balanced ecosystem: each brand has its own niche, neither of which threatens the other and is mutually beneficial.

STRATEGIC COMPARISON – PRADA GROUP vs. FERRAGAMO		
Feature	Prada Group Strategy (Success)	Ferragamo Current Strategy (Failure)
Brand Structure	Decoupled (Portfolio Strategy) Prada: Intellectual Luxury (Heritage) Miu Miu: Rebellious/Youth (Trend)	Merged (Confused Strategy) Single Brand tries to be Heritage & Trend- simultaneously (e.g., Logo change)
Target Audience	Distinct & Clear Prada: Affluent, Mature, Loyal Miu Miu: Gen Z, Aspirational, Viral	Overlapping & Alienated Alienating Core Heritage Client while chasing Gen Z with high prices
Outcome	Strategic Success +93% Miu Miu Growth (2024) Balanced Portfolio Growth	Strategic Failure €68M Net Loss (2024) -19% Revenue (Asia) / Volume Trap

Currently, Ferragamo is attempting to force the "Miu Miu" strategy into the same parent company without any portfolio differentiation whatsoever. By changing the classic "Salvatore Ferragamo" logo to a blocky, new-wave font and releasing streetwear under the main label, the company has confused both its customers and its value proposition. The strategic lesson here is that differentiation and SMART (in this case, specific) goals create value, whereas homogenization muddies the brand.

- **Recommandation**

- **The Idea: The Dual-Line Strategy**

I recommend that Salvatore Ferragamo immediately revamp its brand structure to formally separate its Heritage-luxury business (leather bags, accessories and footwear) from its Runway apparel business (ready-to-wear designer fashion). This involves the creation of a Dual-Line Strategy under a single parent company: the main line and the diffusion line.

1. The Main Line: "Salvatore Ferragamo" (Heritage Footwear and Leather Accessories)

The concept I am proposing is a return to the historic "Salvatore Ferragamo" brand. The logo will be reverted back to the original and old lines will be revived. This eliminates the need for hiring a new creative director to replace Maximilian Davis. The line will focus exclusively on its "quiet luxury" leather, what it originally became famous for: ultra-premium, in-house Italian leather goods and formal footwear. The target demographic will therefore return to the global High-New-Worth Individuals, aged 50 and up. The goal is to restore stability and high-volume orders. Wholesalers will be reintroduced to replace the 21% decrease from the previous rebranding.

2. The Diffusion Line: "FERRAGAMO Rosso" (Ready-to-wear designer fashion)

The new brand-line, FERRAGAMO Rosso (meaning red in Italian), will be launched entirely digitally, given that Ferragamo does not have the resources to open new physical stores. Previously contracted digital storefronts and e-commerce websites for their social media branding will remain the same and become the diffusion source for the line. Maximilian Davis will continue to be the creative director for this brand so that his youthful vision and designs can prevail. The line will include experimental ready-to-wear apparel, sneakers, and accessories, as already seen sported by the likes of Dua Lipa and Rihanna. The line will incorporate leather as well as newer materials, such as vegan-leather and "Orange Fiber." The new line will use the new red logo so that the design doesn't go to waste. The target audience will be Gen Z, Millennials, and "Aspirational" consumers, i.e. younger customers with high-salaries but low-savings (no generational wealth). FERRAGAMO Rosso will be able to, for the first time, capture the market share in the youth sector without driving away the heritage customers.

- **Relevance regarding the identified main strategic challenge**

This recommendation directly resolves the brand confusion and demographic mismatch identified in section 4.1. By returning the bulk of the brand to the original "Salvatore Ferragamo" identity, the brand can try to reestablish their alienated Asian and European clientele. The financial reports for 2024 showed that regional sales in Asia dropped by 19% because the product no longer fit their lifestyle, and pandered instead to more Western "popstar/influencer" customers in the Americas. The 50+ age group possesses the disposable income necessary to buy full-price luxury leather goods. Recapturing this seasoned "silver" demographic restores the volume and revenue source needed to cover the high fixed costs of the Italian supply chain.

The current strategy leaves the company far too vulnerable to the waning tides that are fast-fashion trends. If a collection fails, the whole brand suffers. As previously established, the vertical integration of the Tuscany factories and artisan workers produce high profit-margins when volume is high, but a slight drop in revenue is catastrophic for the brand. By isolating the risky, streetwear designs into the "FERRAGAMO Rosso" sub-label, the main brand is protected, both in image and in revenue. Regardless of whatever trend Gen Z is currently cycling through, the main line remains reliable: the Italian leather loafers their older customers all know and love. This dual-line strategy allows Ferragamo to compete for the youth market (like Miu Miu) without risking its 90-year heritage on throw-away trends.

→ Impact on Strategy

1. Impact on the Business Model (From Monolithic to Tiered)

My mother has a famous saying she likes to remind me of every time we go shopping for clothes: "One size fits none." In a similar fashion, one brand was inconvenient for everyone involved. Ergo, why my recommendation shifts the business model from a "Monolithic" structure (one brand for everyone) to a "Tiered" structure.

- Tier 1 (Main Revenue Stream): The main "Salvatore Ferragamo" line focuses on High Margin/Low Volatility. It creates value by weathering the trends; true quality never goes out of style. Luxury inventory does not "expire," meaning a classic loafer made today can be sold in two years or twenty years. Old designs can be revived instead of hiring a new designer or creative director. This "timelessness" of the main line drastically improves inventory turnover and reduces waste.
- Tier 2 (Growth Stream): The Sub-Label, FERRAGAMO Rosso, focuses on Medium Margin/High Volume. It creates value through marketing and following fashion cycles (six months or less). This line has the flexibility of outsourcing since it does not rely on the reputation of the Tuscan leatherworkers to drive the brand, improving unit margins for non-leather items and paving the way for new partnerships.

2. Impact on Digital Strategy (DNVB)

The "FERRAGAMO Rosso" line will be launched as a Digital-Native Vertical Brand (DNVB). Given the already steep financial losses, Ferragamo cannot afford to build physical stores for this new line. However, its greatest weakness will be forged into its greatness strength. Part of what will make this new sub-line so attractive is its E-commerce Exclusivity. The sub-line will be sold primarily through Farfetch (a previously contracted e-commerce partner), Instagram, TikTok Shop, and a dedicated "Rosso" section of the website. An exclusive e-commerce line lowers Customer Acquisition Cost (CAC) by targeting Gen Z where they feel most comfortable doing their shopping—from their own homes. Promotional boxes with pieces from the line will be sent to high-profile influencers, specifically those with high visibility to a Gen Z audience, in order to drive up "hype" for the brand pre-launch.

Additionally, the Innovation section highlighted Ferragamo's interest in VR. The Sub-Label becomes the technological testing ground for NFTs, Virtual Try-Ons powered by AI, and video game collaborations. This preserves the brand image of the main line while allowing the company the freedom to innovate in the digital space.

→ Impact on Value Creation

1. Economic Value: Restoring the Baseline

The main goal of the dual-line, as is the main goal of any company, is profitability. Namely, I am focusing on the restoration of their past profitability. Marketing to Gen Z is expensive because we are difficult to predict, whereas marketing to loyal, older customers is much more efficient. By retargeting the older customers, Ferragamo increases the efficiency of its marketing budget. The most brilliant part of this plan is that "Quiet Luxury" products will never go out of style, meaning Ferragamo will rely less on discounts to clear unsold inventory, preserving its high Gross Margins, which is what its business model was originally counting on.

2. Social Value: Protecting the Artisans of Manovia

The company's internal stakeholders will also benefit from this dual-line strategy. The "Manovian" artisans were trained to make quality leather footwear, not ready-to-wear designs for the runway. If the current strategy continues and Ferragamo goes out of business, then the knowledge of the Tuscan artisans risks being lost to the sands of time as well, with nowhere to practice and present their craft. By refocusing on the volume production of leather goods, Ferragamo will secure the long-term employment of these contractors, preserving the cultural heritage of their craftsmanship.

3. Environmental Value: Two Sides of the Same Coin - Sustainability

The main line promotes buying a high-quality pair of shoes, every once in a while. A pair of Ferragamo's leather loafers are guaranteed to last at least 10 years, if not more, promoting circularity. What's more, is that leather does not release thousands of microplastics in the environment, making it the true sustainable material for the time being. Meanwhile, the sub-label opens the doors to testing sustainable alternatives mentioned in the Innovation section, such as Orange Fiber and vegan-leather. The sub-label essentially becomes a low-risk way to test eco-materials without ruining the reputation of the parent company.

→ Feasibility

1. Financial Feasibility (Sub-Label Execution with No New Assets)

Considering everything Ferragamo has been through, they do not need any more expenses or losses. Launching a new brand typically requires massive capital expenditure (CAPEX). However, this recommendation is designed to work with what Ferragamo already has. I am not proposing the expensive construction of new factories or stores, nor am I proposing Ferragamo create a new logo or hire a new creative director. The "FERRAGAMO

Rosso" line will utilize the existing e-commerce infrastructure and the existing creative director, Maximillian Davis, both of which were already debuted in the years prior in order to attract Gen Z. My proposal is a matter of segmentation, not building a new company from the ground up. All of Ferragamo's acquired assets will be repurposed to reboot the value proposition, which is why my idea is so financially viable even after two straight years of net losses.

2. Operational Feasibility

Maximillian Davis does not need to be fired. Instead, he will be redirected as the head of FERRAGAMO Rosso. This time, he will be able to design without constraints of worrying about pleasing the original heritage clientele. He will have full creative freedom to pursue his new wave streetwear and dresses, and he will control the release of future lines. Salvatore Ferragamo, the main line, will reissue old designs that generated profit for years: specifically Vara and Gancini. Using their fashion archives, Salvatore Ferragamo will revive their "dead" designs, designs that never really died to begin with. After all, these designs are the ones that never go out of style, and therefore there is no immediate pressure to hire a new creative director for the main line.

3. Implementation Roadmap

This strategy is best deployed over the course of the next two years.

- **The Factory Reset (Early 2026):** The company will hold a formal press release in order to announce the brand splitting in two. The main line will revert to the previous, cursive "Salvatore Ferragamo" on all physical stores and packaging. The company will completely halt wholesale cuts in secondary markets to stabilize cash flow, and try to reestablish past connections with wholesalers.
- **The Digital Drop (Late 2026):** Maximillian Davis will launch "FERRAGAMO Rosso" exclusively online via Farfetch and social media. The first capsule collection release will highlight ready-to-wear streetwear and sneakers. Promotional boxes will be disseminated to influencers and celebrities three weeks before official launch.
- **Stabilization. (2027):** Targeted VIP events in major Asian cities (Shanghai, Tokyo, and later European fashion hubs like Paris and Milan if successful) to re-introduce the Heritage line to lost clients. Weekend Pop-up shops for FERRAGAMO Rosso will debut in Los Angeles and New York. The profits from the main line will be reinvested into the marketing of the Rosso Line.

FERRAGAMO STRATEGIC IMPLEMENTATION ROADMAP (2026-2027)

	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
PHASE 1: THE FACTORY RESET (Early 2026)								
Press Release & Brand Split Announcement	● Q1 Milestone							
Revert to Cursive Logo (Stores/Packaging)	→							
Halt Wholesale Cuts & Reestablish Connections	→							
PHASE 2: THE DIGITAL DROP (Late 2026)								
Influencer Promo Boxes Disseminated			● Q3 Milestone					
Launch 'FERRAGAMO Rosso' Online (Farfetch/Social)			→					
First Streetwear Capsule Release				● Q4 Milestone				
PHASE 3: STABILIZATION (2027)								
VIP Heritage Events (Shanghai, Tokyo)				→				
VIP Heritage Events (Paris, Milan - If Successful)					→			
Pop-up Shops (LA/NY)					→			
Reinvest Main Line Profits into Rosso Marketing					→			

Like Prada, Ferragamo does not need to choose between its past and its future. By adopting a Dual-Line Strategy, it can honor the legacy of Salvatore while embracing the technological revolution of the 21st century. The brand-split approach resolves the “volume trap,” aligns with the financial reality of the company, repurposes its existing assets, and offers an exciting, actionable path out of the crisis. Now that’s what I call SMART.

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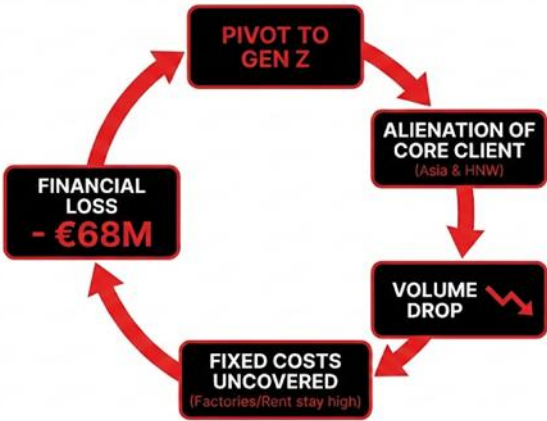
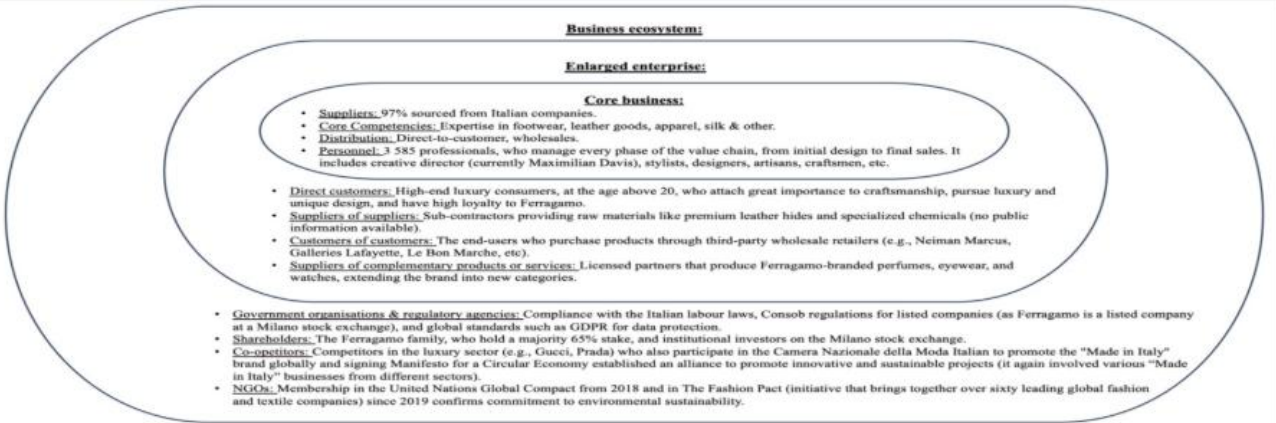
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6. Appendices



The Vicious Cycle of Strategic Misalignment

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Feature	Prada Group Strategy (Success)	Ferragamo Current Strategy (Failure)
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Target Audience	Distinct & Clear Prada: Affluent, Mature, Loyal Miu Miu: Gen Z, Aspirational, Viral	Overlapping & Alienated Alienating Core Heritage Client while chasing Gen Z with high prices
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